Type MS · Calculate the operating profit margin

Answer 1 of 7 · Question 4 part a · 2 marks

2023 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

4 (a)	**AO2 - 2 marks** 80 282 – 12 692 = 67 590 **(1)** 67 590/330 606 x 100 = 20.44 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Analyse the importance of place to *Irsi Chocolatier*. **Indicative content**	**Mark**
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • They are located in a busy area with other competitors nearby and want to make sure customers are drawn to them over the other chocolate shops in the area so will not want to move the location of the physical shop • As a small business with only 3 employees, it may want to consider its online place as well as its physical chocolate shop to remain competitive **AO3** • With the business having started in 1989 it is important to have the shop in the same location so locals and tourists come back year after year if they have enjoyed the chocolates they have bought from the shop • With it offering a local delivery service and the market changing *Irsi Chocolatier* may put some importance on improving their online presence to allow customers to buy from the website as well as find information about its products	**(6)**

Type MS · Calculate the operating profit margin

Answer 1 of 7 · Question 4 part a · 2 marks

2023 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the operating profit margin

Answer 1 of 7 · Question 4 part a · 2 marks

2023 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	Evaluate the impact of *Irsi Chocolatier* using financial methods of motivation on its employees. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • A bonus can be given to employees • A promotion could be awarded to an employee **AO2** • This can motivate the employees is they meet their targets of making and selling a certain amount of chocolate each month • *Irsi Chocolatier* could promote the hardest working employee in the chocolate shop **AO3** • This may push employees to work harder and produce/sell more products in order to meet their targets therefore increasing the revenue for *Irsi Chocolatier* • This will motivate the employee as they will be given additional responsibilities with a potential pay increase making them more loyal to the business as they are being promoted for their work **AO4** • However, if the same employee keeps getting the bonus each month, then this may demotivate the rest of the employees if they feel they do not have a chance at getting the bonus leading to a decrease in productivity • However, this would only be for one employee as the business only currently has three so the other two may end up feeling demotivated and unrecognised possibly leading to an increase in staff turnover and creating a recruitment issue for *Irsi Chocolatier*	**(12)**

Type MS · Calculate the operating profit margin

Answer 1 of 7 · Question 4 part a · 2 marks

2023 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the operating profit margin

Answer 1 of 7 · Question 4 part a · 2 marks

2023 JUN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the operating profit margin

Answer 2 of 7 · Question 3 part c · 2 marks

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

3 (a)	**A01 = 1 mark** Award 1 mark for a correct definition of job share. • Two part-time employees share a single job (1).	**(1)**

Question Number	Answer	Mark
3 (b)	**A02 = 2 marks** Award 1 mark for identifying a reason why high levels of customer satisfaction are important to *Loaf*, plus 1 further mark for linking it to the context of the question. • Returning customers will buy bakery products increasing revenue (1) and potentially higher profits could be returned to the local community (1). **NB** Do not accept a reason that is not in the context of *Loaf*. **Accept any other appropriate response**.	**(2)**

Question Number	Answer	Additional guidance	Mark
3 (c)	**A02 = 2 marks** 22 - 4 = 18 (1) 18 ÷ 90 x 100 = 20 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Calculate the operating profit margin

Answer 2 of 7 · Question 3 part c · 2 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Loaf* can see how the business is performing and can calculate the operating profit margin of 20%. • *Loaf* can use this information to compare itself to other bakeries or cooking schools. **AO3** • Other calculations can be made and could allow *Loaf* to take action if performance has deteriorated. • This will enable *Loaf* to judge its performance against its competitors, giving an indication of how well the business is doing.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the operating profit margin

Answer 2 of 7 · Question 3 part c · 2 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – Pop-up events showcasing its bakery products across the country will lead to higher sales. • Option 2 – Introducing different cookery courses will target new customers wanting to learn new cookery skills. **AO3** • Option 1 – As *Loaf* already runs pop-up events it will not be costly to run these in other areas. The revenue from these events will increase cash inflow while the cost may only have a small effect on cash outflow. • Option 2 – By offering a wider range of cookery courses this may increase cash inflow and make use of its existing facilities, generating increased inflows. **AO4** • Option 1 – However, as Loaf may not be known and the costs of running these pop- up events across the country could be higher than the revenue from them leading to a negative net cash flow. • Option 2 – However, this may not increase net cash flow because *Loaf* will still have to run the classes even if they are not full so could end up spending more on the teachers and food, resulting in higher outflows than inflows.	**(9)**

Type MS · Calculate the operating profit margin

Answer 2 of 7 · Question 3 part c · 2 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the operating profit margin

Answer 2 of 7 · Question 3 part c · 2 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Answer	Additional guidance	Mark

Type MS · Calculate the operating profit margin

Answer 3 of 7 · Question 1 part e · 2 marks

2021 JUN · Paper 01 · extract 1 of 7 · find part e in this mark scheme extract

1 (a) (i)	AO1 - 1 mark **1 (a) (i) The only correct answer is C** **A** is not correct because personal savings are an internal source of finance **B** is not correct because retained profit is an internal source of finance **D** is not correct because selling assets is an internal source of finance	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	AO1 - 1 mark **1 (a) (ii) The only correct answer is B** **A** is not correct because penetration pricing is where a business sets a low price for a new product **C** is not correct because competition pricing is where a business sets a price for a product in line with its competitors **D** is not correct because promotional pricing is where a business lowers the price of a product for a short time	**(1)**

Type MS · Calculate the operating profit margin

Answer 3 of 7 · Question 1 part e · 2 marks

2021 JUN · Paper 01 · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (a) (iii)	AO1 - 1 mark **1 (a) (iii) The only correct answer is A** **B** is not correct because discrimination by ability is not protected by legislation **C** is not correct because social discrimination is not protected by legislation **D** is not correct because ethical discrimination is not protected by legislation	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	AO1 - 1 mark **1 (a) (iv) The only correct answer is D** **A** is not correct because a curriculum vitae would be sent to the employer **B** is not correct because a letter of application would be sent to the employer **C** is not correct because a newspaper advertisement would be used to advertise the job vacancy	**(1)**

Question Number	Answer	Mark
1 (a) (v)	AO2 - 1 mark **1 (a) (v) The only correct answer is B** **A** is not correct because it is the exchange rate in euros **C** is not correct because it is the cost of 1kg of dried fruits **D** is not correct because it is the cost of 1kg of dried fruits added to the exchange rate of the euro	**(1)**

Type MS · Calculate the operating profit margin

Answer 3 of 7 · Question 1 part e · 2 marks

2021 JUN · Paper 01 · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Answer	Mark
1 (a) (vi)	AO2 - 1 mark **1 (a) (vi) The only correct answer is C** **A** is not correct because it is the cost of a jar of honey formatted as a percentage **B** is not correct because it is the selling price of a jar of honey minus the cost of a jar of honey as a percentage **D** is not correct because it is double the mark up of a jar of honey	**(1)**

Question Number	Define the term profit Answer	Mark
1 (b)	AO1 - 1 mark Award 1 mark for a correct definition of profit. • Total revenue – total costs (1).	**(1)**

Question Number	Define the term non-current liabilities Answer	Mark
1 (c)	AO1 - 1 mark Award 1 mark for a correct definition of non-current liabilities. • Debts that are payable after 12 months (1).	**(1)**

Type MS · Calculate the operating profit margin

Answer 3 of 7 · Question 1 part e · 2 marks

2021 JUN · Paper 01 · extract 4 of 7 · find part e in this mark scheme extract

Question Number	State one reason why NOF segments its target market by income Answer	Mark
1 (d)	A02 - 1 mark Award 1 mark for a reason why NOF segments its target market by income. • NOF can sell higher priced organic products to people staying at the farm (1). Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	A02 - 2 marks 90 – 10 = 80 (1) 80/160 x 100 = 50 (1)	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Calculate the operating profit margin

Answer 3 of 7 · Question 1 part e · 2 marks

2021 JUN · Paper 01 · extract 5 of 7 · find part e in this mark scheme extract

Question Number	Explain one strategy a small business might use to extend the product life cycle of one of its products Answer	Mark
1 (f)	A01 - 3 marks Award 1 mark for identification of a strategy of extending a product life cycle, plus 2 further marks for explaining the impact, for a maximum of 3 marks. • Local advertising could extend the life cycle of a product (1). A small business could deliver leaflets to the local area to increase customer awareness of a product (1) leading to a potential increase in sales (1). NB Answers that list three strategies with no explanation will get a maximum of 1 mark. Accept any other appropriate response.	**(3)**

Question Number	Analyse the importance of marketing to NOF Indicative content	Mark
1 (g)	AO2 = 3 marks AO3 = 3 marks AO2 • Result from marketing would enable NOF to adapt its overnight accommodation to what the customers want. • Marketing can be used to make customers aware of its organic honey. AO3 • This may lead to increased bookings for the overnight accommodation. • Sales of organic honey may increase.	**(6)**

Type MS · Calculate the operating profit margin

Answer 3 of 7 · Question 1 part e · 2 marks

2021 JUN · Paper 01 · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the operating profit margin

Answer 3 of 7 · Question 1 part e · 2 marks

2021 JUN · Paper 01 · extract 7 of 7 · find part e in this mark scheme extract

Question Number	State one external factor that could cause a change in demand for NOF products Answer	Mark

Type MS · Calculate the operating profit margin

Answer 4 of 7 · Question 4 part a · 2 marks

2021 JUN · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

4 (a)	**A02 - 2 marks** 590 ÷ 4 221 x 100 **(1)** = 13.98 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Calculate the operating profit margin

Answer 4 of 7 · Question 4 part a · 2 marks

2021 JUN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Analyse the effects for *NEXT* of an increase in UK interest rates. Indicative content	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If the interest rate rises then consumers will spend less on items such as clothing from *NEXT* • Consumers are less likely to purchase *NEXT* furniture on credit. **AO3** • This could lead to a reduction in sales for *NEXT* which could have an impact on its profits • This could lead to *NEXT* not being able to sell its inventory	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Calculate the operating profit margin

Answer 4 of 7 · Question 4 part a · 2 marks

2021 JUN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Evaluate the importance for *NEXT* of maintaining quality throughout all of its manufacturing processes. Indicative content	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Consumers who purchase clothes expect quality goods • Quality of products give a business a good reputation **AO2** • *NEXT* provide quality furniture and fashionable dress for customer to buy • A poor reputation may mean that *NEXT* attracts fewer customer to its worldwide shops **AO3** • *NEXT* will have to ensure that all manufacturers of their clothes and furniture, maintain the same standard throughout 70 countries • *NEXT* may have to close some of its shops which would reduce the number of its outlets and sales **AO4** • However, maintaining this standard is expensive as the production of clothes and furniture will need constant inspection to ensure that the items are of the quality set • However, once a poor reputation for quality is gained amongst customers for clothes or furniture it is very hard to regain their loyalty	**(12)**

Type MS · Calculate the operating profit margin

Answer 4 of 7 · Question 4 part a · 2 marks

2021 JUN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1). • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	5-8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places (AO1). • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of c business information and issues relevant to the choice made (AO4).

Type MS · Calculate the operating profit margin

Answer 4 of 7 · Question 4 part a · 2 marks

2021 JUN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level 3	9-12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1). • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Calculate the operating profit margin

Answer 4 of 7 · Question 4 part a · 2 marks

2021 JUN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

Type MS · Calculate the operating profit margin

Answer 5 of 7 · Question 1 part e · 2 marks

2021 NOV · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **A –** It is a more up to date method of research B – is incorrect as it is very time-consuming C – is incorrect as it is more expensive D – is incorrect as it is carried out by a variety of people not just agencies	**(1)**

Question Number	Which **one** of the following is a financial objective? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **B –** Market share A – is incorrect as personal satisfaction is not financial C – is incorrect as independence is not financial D – is incorrect as control is not financial	**(1)**

Question Number	Which **one** of the following is the total revenue for a day? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** **C** – £2 400 A – is incorrect as £600 is the fixed cost B – is incorrect as £1 800 is £600 x £3.00 D – is incorrect as £600 x £12.00	**(1)**

4BS1 02 November 2021

Type MS · Calculate the operating profit margin

Answer 5 of 7 · Question 1 part e · 2 marks

2021 NOV · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following would be a disadvantage for a partner in a partnership? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **B –** Liability for all debts A – is incorrect as sharing the workload is a benefit C – is incorrect as access to more capital is a benefit D – is incorrect as sharing skills is a benefit	**(1)**

Question Number	What would be the brand value in 2019? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **C –** $8.66 billion A – is incorrect as 6.20 is 14/10 = 1.4 7.6 – 1.4 = 6.2 B – is incorrect as 7.74 is 7.6 plus .14 D – is incorrect as 10.64 is 76 x .14	**(1)**

Question Number	Which **one** of the following is a source of long-term finance? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **D –** Bank loan A – is incorrect as an overdraft is short term finance B – is incorrect as sales revenue is funds made from sales C 0 is incorrect as a bank loan is not long term finance.	**(1)**

4BS1 02 November 2021

Type MS · Calculate the operating profit margin

Answer 5 of 7 · Question 1 part e · 2 marks

2021 NOV · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Define the term **sole trader**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of sole trader. • A business owned exclusively by one person **(1)**	**(1)**

Question Number	Define the term **demographics**. **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of demographics. • A particular section of the population **(1)**	**(1)**

Question Number	State **one** reason why *Huawei* may use share capital as a source of finance. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using share capital in the context of the business. • *Huawei* does not have to pay the funds back it can use the money to pay the salaries of the smartphone designers **(1)** • *Huawei* can use the money raised as it wishes such as investing in new technology **(1)** **Accept any other appropriate response.**	**(1)**

Question Number	Calculate, to two decimal places, the operating profit margin for *Huawei*. **Answer**	**Additional guidance**	**Mark**

4BS1 02 November 2021

Type MS · Calculate the operating profit margin

Answer 5 of 7 · Question 1 part e · 2 marks

2021 NOV · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

1 (e)	**A02 - 2 marks** = 73 287 ÷ 721 202 x 100 **(1)** = 10.16 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage for a business of using **sponsorship**. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of a business of using sponsorship, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By sponsoring an event the business will gain publicity **(1)** the event could be local, national or global **(1)** this would mean the business would cover a wide spectrum of people **(1)** • By sponsoring an event brand awareness will be increased **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)** NB Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Calculate the operating profit margin

Answer 5 of 7 · Question 1 part e · 2 marks

2021 NOV · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Question Number	Analyse the benefits of *Huawei* of locating its factories near to its labour sources. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By locating a factory in an area where there is a skilled labour force it could reduce training costs • *Huawei* may need certain skills to operate manufacturing machinery for its products e.g. smartphones **AO3** • The money saved could then be used for other purposes within *Huawei* • If those skills are available the factory may become more productive and efficient in manufacturing smartphones	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3–4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5–6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Calculate the operating profit margin

Answer 5 of 7 · Question 1 part e · 2 marks

2021 NOV · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage. **Answer**	Mark

Type MS · Calculate the operating profit margin

Answer 6 of 7 · Question 3 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 5 · find part c in this mark scheme extract

Number	Answer	
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **secondary sector.** • The sector that turns raw materials into finished goods **(1)**	**(1)**

Question Number	Outline **one** way *Café Pinch* could use social media to promote its business. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a way *Café Pinch* could use social media to promote its business, plus 1 mark for linking it to the context of the business • If colour photographs of menu dishes were posted online **(1)** this could entice new customers **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch* **Accept any other appropriate response**	**(2)**

Question Number	Calculate, to two decimal places, the operating profit margin. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 66 842 – 5 782 = 61 060 **(1)** 61 060/103 825 x 100 = 58.81 **(1)**	Award 1 mark for correctly substituting numbers into formula Award full marks for correct numerical answer without working	**(2)**

Type MS · Calculate the operating profit margin

Answer 6 of 7 · Question 3 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 5 · find part c in this mark scheme extract

Question Number	Analyse **two** factors *Café Pinch* might consider when measuring its success. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As the owner of *Café Pinch*, Kumaran can check the business objectives he has set for the business • Comparing the annual financial details of the café, such as profit from 2018 through to the present time **AO3** • The owner used his experience gained in other good restaurants to set up his own business so if it is running in the way he saw it running then this can be considered a success • If the profit has increased year-on-year this shows success of the business as there is a demand for the products it sells leading to loyal customers	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Calculate the operating profit margin

Answer 6 of 7 · Question 3 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 5 · find part c in this mark scheme extract

Question Number	*Café Pinch* is considering two options: **Option 1:** updating the noticeboard in the staffroom daily with information such as sales targets and staff rotas **Option 2:** weekly staff meetings. Justify which **one** of these two options *Café Pinch* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Using a noticeboard keeps chefs and waiters updated about the café with the most up to date information about sales or meals achieved • **Option 2** – Having a weekly staff meeting allows the chefs and waiters to ask questions on any updates of the cafe **AO3** • **Option 1** – It can lead to an improved relationship between the owner and his employees as they will have the most up to date information making them feel valued and part of a team • **Option 2** – It can lead to improved communication as Kumaran can respond to queries straight away and clear up any misconceptions **AO4** • **Option 1** – However, unless all of the employees read the notices every day or if Kumaran forgot to update the notices daily then communication may not improve and any positive feelings of employees could be lost • **Option 2** – However, as all staff will be involved in the meetings they are likely to take place out of hours and some staff may not want to attend therefore miss out on important information	**(9)**

Type MS · Calculate the operating profit margin

Answer 6 of 7 · Question 3 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Calculate the operating profit margin

Answer 6 of 7 · Question 3 part c · 2 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 5 · find part c in this mark scheme extract

Question Number	Calculate the return on capital employed. **Answer**	**Additional guidance**	**Mark**

Type MS · Calculate the operating profit margin

Answer 7 of 7 · Question 4 part a · 2 marks

2025 NOV · Paper 02 · extract 1 of 4 · find part a in this mark scheme extract

4 (a)	**AO2 – 2 marks** Award 2 marks for the correct answer 8.26 % **(2)** **OR** award 1 mark for workings if final answer is incorrect 112 000 – 94 000 = 18 000 **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Q. No.	Analyse the purpose of market research for *Samsung*. **Indicative content**	Mark
4 (b)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *Samsung* are able to identify and understand its customer's needs in terms of what they look for when buying a laptop or TV • Market research will help *Samsung* identify potential gaps in the competitive smartphone market **AO3** • *Samsung* can consider the features customers prefer to increase demand for its products • This, this may lead to *Samsung* developing a USP to attract more customers	**(6)**

21

Type MS · Calculate the operating profit margin

Answer 7 of 7 · Question 4 part a · 2 marks

2025 NOV · Paper 02 · extract 2 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

22

Type MS · Calculate the operating profit margin

Answer 7 of 7 · Question 4 part a · 2 marks

2025 NOV · Paper 02 · extract 3 of 4 · find part a in this mark scheme extract

Q. No.	Evaluate whether a centralised organisation structure will benefit *Samsung*. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO1** • A centralised organisation structure is where business decisions are made at the headquarters of the business • It is usual in a centralised structure that decisions for the whole business are made by the CEO and other senior managers **AO2** • This means that major decisions on the design and the development of smartphones will be made in South Korea to speed up the decision making • It means that *Samsung* can benefit from economies of scale if TVs are standardised and the marketing can be organised centrally **AO3** • This will ensure *Samsung* can react quickly to changes in technology which is of importance in the competitive smartphone market to ensure it maintains its market share • A reduction in unit costs may help reduce prices of the TVs to help them remain the leading supplier in the industry **AO4** • However, lack of authority lower in the organisation may demotivate mangers leading to lower productivity/ employees leaving their jobs resulting in higher costs and lower profit levels • However, local managers in the factories and offices outside South Korea may have a better understanding of local needs /be in a better position to attract more customers	**(12)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Calculate the operating profit margin

Answer 7 of 7 · Question 4 part a · 2 marks

2025 NOV · Paper 02 · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)